UrbanCart – Recommendation to the CMO

Paid-marketing budget: cutting 20% next quarter

To: CMO | **From:** Growth Analytics | **Re:** Cutting paid spend by 20%

Decision. Cut ₹1,73,600 (20%) from the ₹8,68,000 Q2 paid-spend baseline: Meta Ads −₹1,31,000 (−38.6%) and Affiliate −₹42,600 (−25.1%). Hold Google Ads and Influencer flat. Check: ₹1,31,000 + ₹42,600 = ₹1,73,600 = 20% × ₹8,68,000.

Why.

- **Meta Ads:** Q2 spend rose 63.0% over Q1 (₹2,08,000 to ₹3,39,000) for only 17 extra customers (+5.2%). CAC climbed from ₹491 (Jan) to ₹1,115 (Jun); LTV:CAC is 0.62. We cut back to Q1 spend.
- **Affiliate:** worst return (LTV:CAC 0.42), only 8.1% repeat buyers, ₹957 revenue per customer.
- **Influencer:** highest CAC (₹967) but best revenue per customer (₹2,858) and 73.0% repeat. Not cut: CAC alone misleads.

Protect: Google Ads. The only channel whose LTV exceeds CAC (1.14), with stable CAC (+3.2%) and 57.7% repeat.

Expected impact. Roughly 82–199 fewer paid customers a quarter (7.5–18.2%), yet each lost customer earned less than it cost; net margin gain ₹88,117 even in the pessimistic case.

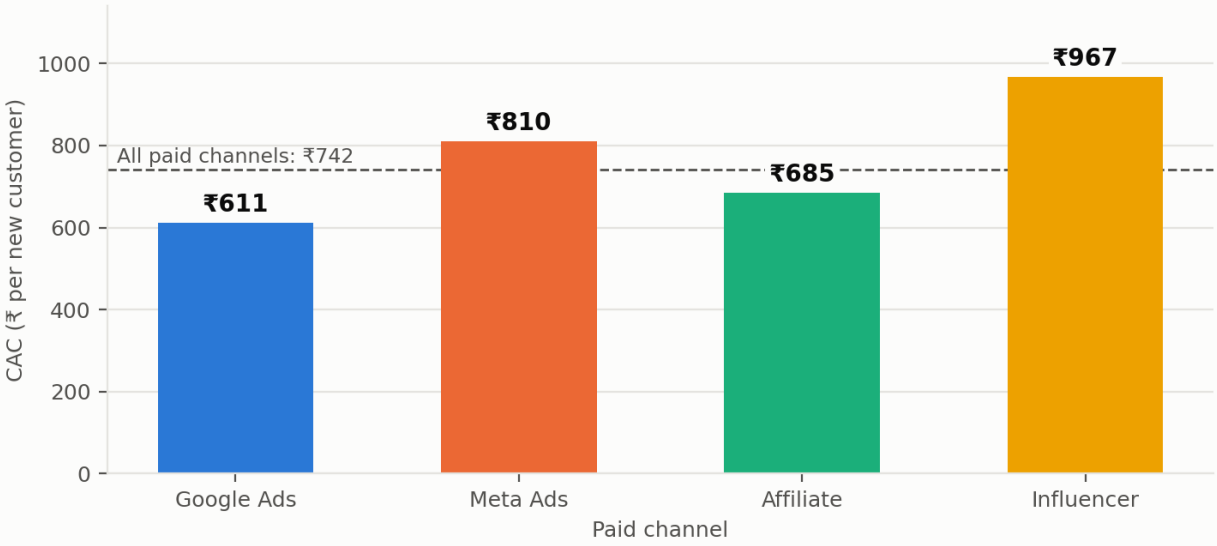
Biggest risk. Meta's CAC rise coincides with higher spend: association, not proof of saturation. LTV covers six months only and samples are modest, so volume could fall further.

Monitor weekly: Meta CAC and new customers, Organic signups (halo effect), Affiliate repeat rate, total new customers. If total paid customers fall over 18.2% below Q2 pace, revisit the Meta cut.

Calculation detail: Budget_Calculation.md. Charts on the following pages.

Influencer and Meta Ads cost the most to acquire a customer

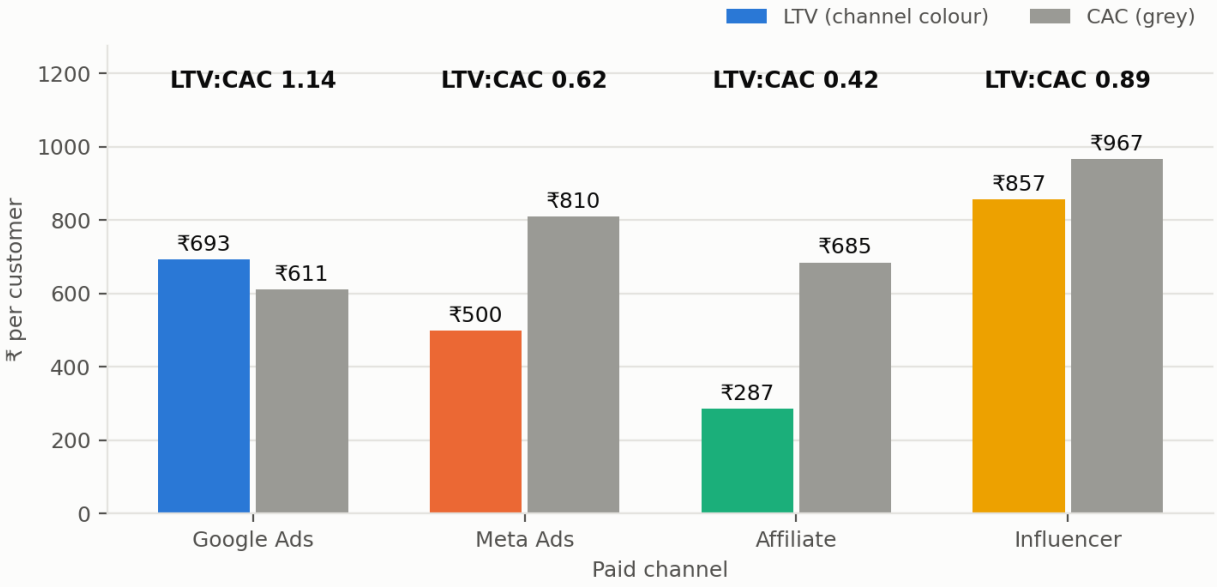
Customer acquisition cost = Jan–Jun 2026 channel spend ÷ customers with ≥1 delivered order



Source: outputs/part1_analysis/acquisition_metrics.csv (cleaned data; QA test accounts and duplicate orders excluded)

Only Google Ads earns back its acquisition cost

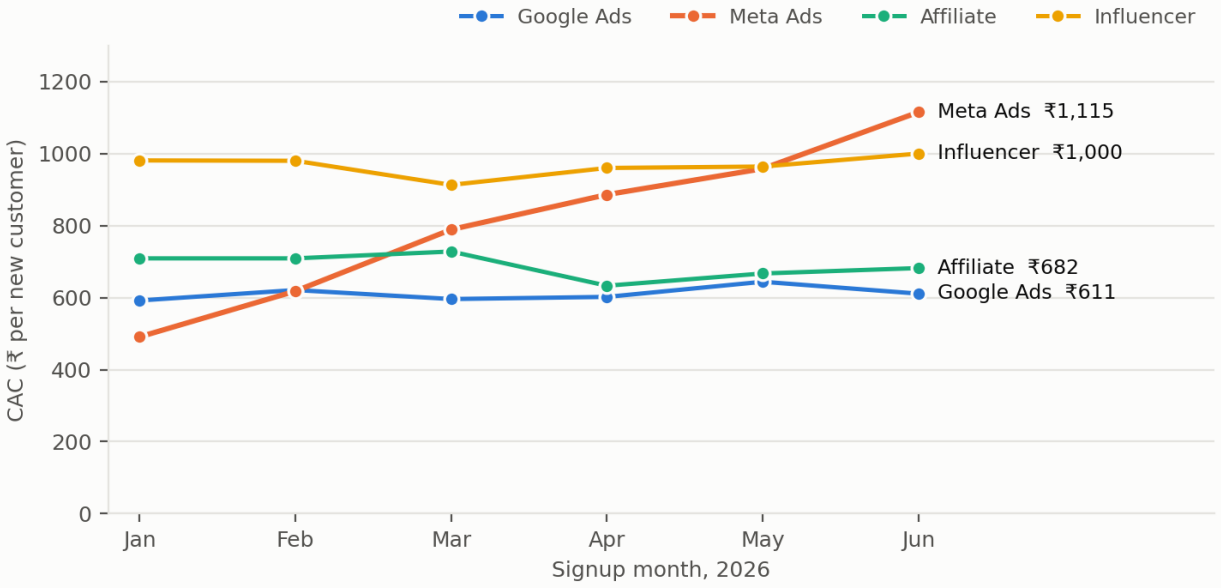
LTV = Jan–Jun revenue per customer × 30% margin (a 0–6 month value, not a lifetime forecast)



Source: outputs/part1_analysis/ltv_cac_metrics.csv

Meta Ads CAC more than doubled; the other channels stayed flat

Monthly CAC = month's channel spend ÷ customers who signed up that month and have ≥1 delivered order



Source: outputs/part1_analysis/monthly_cac_trends.csv. Y-axis starts at zero.